

VRS/VSS CALCULATOR

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The downfall in the economy has forced many employees in central and state organisations to opt for voluntary retirement scheme (VRS)/voluntary separation scheme (VSS). Under VRS/VSS, the employee retires from a central or state job before the age of retirement. A simple software program described in the article allows you to calculate the VRS/VSS amount with certain inputs.

VRS/VSS amount

The amount paid on VRS/VSS option is often referred to as ex-gratia amount and calculated on the guidelines issued by the state or central government. Two models, Gujarat model (VRS) and Department of Heavy Industry (DHI)

model (VSS), are exclusively used for the VRS/VSS schemes by the central and state governments with or without few additional guidelines.

Under the Gujarat model, an employee is entitled to an ex-gratia payment equivalent to 35-day emoluments for each completed year of service and 25 days for the balance of service left until superannuation. On the other hand, under DHI model, the employee is entitled to an ex-gratia payment equivalent to 45-day emoluments for each completed year of service and 25 days for the balance of service left until superannuation. The part of year for the completed service or for the balance of service left shall be entitled for ex-gratia on pro-rata basis.

The other guidelines are similar

in both the cases, such as only the present basic pay and dearness allowance (DA) are to be taken into account for computation of ex-gratia amount. The ex-gratia amount will be subject to a minimum of Rs 25,000 or 250-day salary, whichever is higher, and to a maximum that the ex-gratia amount shall not exceed the sum of the salary that the employee would draw at the prevailing level for the balance of the period left before superannuation. Also, the total period of ex-gratia amount should not exceed 33 years. If it exceeds, it should be limited to 33 years (by reducing the remaining period of service). These conditions are implemented in this software program.

Provident fund (PF), leave encashment, gratuity, notice pay and long-term care (LTC) that are payable in VRS are based on the provisions of the relevant statutes and the service conditions. Since these are outside the computation of the ex-gratia amount, they are not implemented in the software.

Logic

The inputs required to calculate the ex-gratia amount on VRS/VSS are date of birth, date of joining and date on which VRS/VSS is taken. The pay particulars of present basic and DA rate should also be known.

From the mentioned inputs, the following values can be calculated:

1. Date of retirement: Date of birth + 60 years or 58 years
2. Service completed period: Date of voluntary retirement/separation - Date of joining
3. Service remaining period: Date of retirement - Date of voluntary retirement/separation



Screenshot 1: VRS calculation for central government employee